A multi-year process began, which included building the National Company Law Tribunal (NCLT) and the Insolvency and Bankruptcy Board of India (IBBI). On the private side, individuals started specializing in the field of bankruptcy, and the slow development of ‘information utilities’ and ‘insolvency professional agencies’ began.

It takes years for these changes to play out, for adequate capabilities to develop on all these fronts. For this reason, the gains for the economy, from enacting the IBC in 2016, are obtained at a later date.

The bulk of the gains from the bankruptcy reform come from *modified behaviour* of private persons, taking place in the shadow of the law. The threat of the law is expected to induce modified behaviour on the part of borrowers and lenders. This also takes time. At first, the threat of the law has to change. In time, this will induce changes in culture, in the ways in which contracting and negotiation take place. The full impact unfolds over time.

Lags of policy impact

The most important reforms impose pain that is concentrated upon a few people, and gains that are diffused over the entire country. The pain comes early and the gains come with a lag. The political puzzle of reforms lies in managing these two tensions.

The art of politics lies in understanding the map of interests and pulling off such reforms. This involves understanding who will lose in the short run, negotiating with them and influencing their view of the world, modifying the reform in non-fundamental ways so as to reduce the pain upon these persons, and sometimes compensating them through other instruments. It involves harnessing the support of the gainers from the reform.